

ContexAi Research Desk · Sourced via Reuters, CNBC, Business Recorder, Express Tribune, Mettis Global, AGBI, Gulf News, S&P Global, Kitco, SBP & Regulatory Trackers · For the C-Suite & HNW Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate

KSE-100 V

175,329

▲ 0.23% Fri · +399
pts

S&P 500 V

▼ **0.38%**

Nasdaq -0.29% ·
Dow -0.51%

US 10Y / 2Y V

4.78 / 4.34

hot jobs data · hike
bets firm

BRENT / WTI V

\$97.5 / \$92.6

+1.2% Mon · Iran-
Kuwait strikes

GOLD V

\$4,420

-1.3% · silver
\$66.30

USD/PKR V

277.50

interbank · little
changed

01 Five Things You Need To Know To Start Your Day

PAYROLLS SHOCK REVIVES HIKE BETS

An outsized August payrolls beat — **+162,000 jobs** against a 53,000 consensus, with unemployment steady at 4.1% — pushed the 10-year Treasury yield to **4.78%** and the 2-year to 4.34%, its highest since January 2025, as traders lifted the odds of a hike at the 15–16 September FOMC to near 60% on CME FedWatch. Fed Governor Waller had argued the committee could “wait one meeting” for disinflation to show, but the data cuts against that case. Sources: [CNBC](#), [USAGOLD](#). Sentiment: **hawkish repricing**.

WALL STREET RETREATS FROM RECORDS

The **S&P 500** fell 0.38% to 7,718.60, the **Dow** lost 0.51% to 53,414.25 and the **Nasdaq** eased 0.29% to 26,506.99 on Friday as the hot jobs print reversed the week's rate-cut optimism and pulled equities off their highs. Sources: [Washington Post](#), [TheStreet](#). Sentiment: **risk-off close**.

BRENT NEARS \$97 ON IRAN-KUWAIT STRIKES

Crude extended its advance toward three-month highs on Monday — **Brent at \$97.47/bbl** (+1.24%) and **WTI at \$92.59/bbl** (+1.22%) — after Iranian strikes hit US-linked bases in Kuwait on 2–3 September, keeping a Strait of Hormuz risk premium bid even as OPEC+'s seven core members head into their **6 September meeting** expected to hold quotas steady into Q4. Sources: [Trading Economics](#), [Rio Times](#). Sentiment: **supply risk building**.

KSE-100 GRINDS TO A FIRMER CLOSE

The benchmark added 399.14 points (0.23%) to close at **175,328.82** on Friday, swinging between an intraday low of 174,515.38 and a high of 175,418.29. Ready-market volume rose to 874.32 million shares worth Rs32.42bn, with breadth split 235 advancers to 218 decliners (43 unchanged). MEBL, BAHL, MARI, PPL and OGDC added a combined 250 points; UBL, ATRL, PSEL, Cnergyico and FFC dragged the index down 212 points as rising oil prices kept investors cautious. Sources: [Business Recorder](#). Sentiment: **choppy but constructive**.

PAKISTAN CPI BACK IN DOUBLE DIGITS

August CPI accelerated to **11.1% y/y** from 9.2% in July — urban inflation at 10.4%, rural at 12.2% — on higher food and fuel costs, complicating the SBP's path after it held its policy rate at 11.5% for a second straight meeting in July. KIBOR has begun inching up in sympathy, with 6-month paper at 11.61–11.86% as of Friday. Sources: [Business Recorder](#), [PBS](#). Sentiment: **inflation resurging**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's macro picture turned more complicated this week: August CPI jumped to **11.1% y/y** from 9.2% in July, its first double-digit print in months, even as the KSE-100 added 0.23% to close at 175,328.82 on Friday on broad-based buying in banks, autos and E&P. SBP foreign reserves rose to **\$17.12bn** in the week to 28 August, with FY26 remittances tracking toward \$42bn, and the central bank holds its policy rate at 11.5% into a September MPC that now looks more finely balanced given the inflation resurgence and a firmer oil import bill. USD/PKR interbank held little changed near 277.50. Sources: [Business Recorder](#), [ProPakistani](#).

B. GCC & Middle East

Gulf non-oil momentum stayed resilient despite the conflict backdrop: the UAE's S&P Global PMI rose to **55.3 in August** from 52.7, its fastest pace since December 2024, while Saudi Arabia's Riyadh Bank PMI climbed to a six-month high of **53.8**. That strength is being tested by a firmer oil tape — Brent near \$97.5/bbl on renewed Iran-Kuwait strikes — as OPEC+'s seven core members head into a 6 September meeting expected to hold quotas steady into Q4 after completing their planned 2026 output-cut unwind. Saudi's PIF, meanwhile, is executing its board-approved 2026–2030 strategy prioritising tourism, travel and domestic ecosystem investment as Vision 2030 enters its final stretch. Sources: [The National](#), [Arab News](#).

C. Global Intelligence

A blowout August payrolls report reset the rate-cut narrative: nonfarm payrolls added 162,000 versus 53,000 expected, unemployment held at 4.1%, and Treasury yields jumped — the 10-year to 4.78%, the 2-year to 4.34% — lifting the odds of a hike at the 15–16 September FOMC meeting toward 60% even as Fed Governor Waller argues for patience. Equities retreated in response (S&P 500 –0.38%) while gold slid 1.3% to \$4,420/oz on a firmer dollar. The other swing factor is the Middle East: continued US-Iran strikes, including missiles on Kuwait, have pushed Brent within reach of \$100/bbl for the first time since Q2. Sources: [CNBC](#), [Trading Economics](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	FBR SRO 1495(I)/2026 amends the Tax Year 2026 income tax return form just weeks ahead of the 30 September filing deadline, adding new schedule provisions.	Salaried & corporate taxpayers, tax practitioners, compliance software	Wins: Tax advisory and compliance-software firms billing for last-minute adjustments; FBR gains finer-grained disclosure ahead of its Rs15.3tn FY27 collection target. Losses: Individual and corporate filers facing compressed timelines, with practitioners flagging legal uncertainty over the notification's timing.
Regional — GCC	OPEC+'s seven core members head into their 6 September meeting expected to hold quotas steady into Q4 after completing the 188,000 bpd September output increase.	Oil & gas majors, Gulf shipping/insurance, non-oil private sector	Wins: Saudi Arabia (PMI 53.8) and UAE (PMI 55.3) non-oil sectors, which extend multi-month growth highs on quota discipline and steady supply. Losses: Gulf shippers, insurers and energy importers exposed to a rising Hormuz risk premium as Brent approaches \$100/bbl.
Global	The Fed's 15–16 September FOMC meeting looms with hike odds near 60% on CME FedWatch after a hot August jobs report, even as Governor Waller pushes back on tightening this cycle.	Rate-sensitive equities, EM currencies (incl. PKR), energy majors	Wins: The dollar and short-end yields, which firmed on hike repricing; energy majors benefiting from a rising Brent/WTI complex. Losses: Rate-sensitive equities and EM currencies, including the PKR, which face tighter-for-longer risk if the Fed does hike in September.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

174,500

Friday's intraday low (174,515); deeper support at 173,500

PIVOT EST.

175,329

Friday's close

RESISTANCE EST.

175,400

Friday's intraday high (175,418); then 176,000

Friday's 0.23% gain masks a genuinely two-sided tape: banks, autos and E&P names such as **MEBL**, **MARI**, **PPL** and **OGDC** did the heavy lifting as the oil rally lifted energy earnings expectations, while **UBL**, **Cnergyico** and **FFC** dragged, and volume rose alongside the index — a mild positive for conviction. The bigger risk sits offshore: a hawkish US jobs surprise has revived Fed hike odds into the 15–16 September FOMC, and Brent's push toward \$100/bbl on renewed Iran-Kuwait strikes worsens Pakistan's import bill just as August CPI printed back in double digits at 11.1%. We'd stay selectively long E&P and banks as oil-rally beneficiaries while trimming broader beta into the SBP's September MPC and any fresh Hormuz escalation. All levels are indicative desk estimates, not recommendations.

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